

Sanlam Kenya Plc Results

Audited Financial Statements for the period ended 31 December 2020

MESSAGE FROM THE DIRECTORS

The Board of Directors of Sanlam Kenya Plc announces the Group's financial results for the year ended 31st December 2020.

Financial performance 2020

In 2020, the Group reported a profit before tax of Kshs. 43 million compared to a prior year's profit before tax of Kshs. 550 million. The loss after tax attributable to the shareholders was Kshs. 78 million down from prior year's profit after tax of Kshs. 114 million driven by the effects of Covid-19 pandemic on the local economy and foreign exchange rates which had an adverse impact on the valuation of the Group's net assets.

The insurance subsidiaries, Sanlam Life (SLIL) and Sanlam General (SGIL) generated Kshs 499 million and Kshs 138 million in after tax profits, respectively. Gross premium income improved by 24% as a result of growth in the long-term and short-term insurance businesses. Capital and reserves declined by 4% in line with financial performance in the current year.

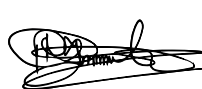
The business retains a positive outlook for the year 2021. We remain committed to creating and protecting the wealth of our clients and other stakeholders through innovative product offerings and employing the most efficient processes. We continue to adapt to the evolving needs of our client base.

Dividends

The Board of Directors will not be recommending the payment of dividends for the year ended 31 December 2020 (2019: Nil) at the forthcoming Annual General Meeting scheduled for Thursday 6th May 2021. The Group Statement of Financial Position, Comprehensive Income, Statement of Changes in Equity and Abridged Cashflow Statement are an extract of the Group's Financial Statements as audited by PricewaterhouseCoopers LLP and have received an unqualified opinion dated 26th March 2021. The financial statements below were approved by the Group's Board of Directors on 25th March 2021 and signed on its behalf by;



Dr. JPN Simba, EGH, MBS, OGW
Chairman



Dr. Patrick Tumbo, EBS
Group Chief Executive Officer

GROUP STATEMENT OF COMPREHENSIVE INCOME		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
Income		
Gross premium income	8,697,626	6,991,588
Outward reinsurance premium	(1,846,020)	(1,345,042)
Net written premium	6,851,606	5,646,546
Fees and commission income	458,076	325,064
Investment income	2,473,877	2,350,289
Fair value (losses)/gains	(360,862)	422,177
Impairment of financial assets	-	2,624
Other operating revenue	5,846	152,379
Total income	9,428,543	8,899,079
Claims and expenses		
Gross benefits and claims paid	(6,505,249)	(5,532,435)
Reinsurers' share of claims	1,480,676	433,730
Net change in investment and contract liabilities	(706,952)	262,282
Net claims and policyholders benefits	(5,731,525)	(4,836,423)
Fee and commission expense	(1,142,833)	(993,691)
Cost of sales - plots	-	(20,653)
Other operating and administrative expenses	(1,972,126)	(2,040,589)
Impairment of investment in subsidiaries	(17,779)	-
Finance costs	(520,996)	(457,637)
Total benefits, claims and other expenses	(9,385,259)	(8,348,993)
Profit before share of profit and share of loss of an associate	43,284	550,086
Profit before tax	43,284	550,086
Income tax expense	(121,501)	(435,687)
(Loss)/profit for the year after tax	(78,217)	114,399
Total comprehensive (loss)/income for the year	(78,217)	114,399

(Loss)/profit attributable to:

Equity holders of the parent	(117,008)	113,334
Non controlling interest	38,791	1,065

(Loss)/earning Per Share

Basic	(0.81)	0.79
Diluted	(0.81)	0.79

Shares used for calculating earnings per share	144,000,000	144,000,000
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GROUP STATEMENT OF FINANCIAL POSITION		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
ASSETS		
Property and equipment	691,539	735,457
Right-of-use assets	122,627	94,907
Investment properties	2,383,680	2,518,680
Intangible assets	56,530	76,972
Investment in associate	-	17,779
Deferred income tax	151,596	153,655
Financial assets		
Equity securities at fair value through profit or loss	516,342	1,933,402
Government securities at fair value through profit or loss	22,012,625	18,681,638
Corporate bonds at fair value through profit or loss	-	53,695
Loans	300,319	379,766
Deferred acquisition costs	198,477	172,008
Reinsurance share of insurance contract liabilities	1,360,652	751,534
Inventory	89,564	89,564
Current income tax	80,978	68,624
Insurance receivables	1,148,029	938,571
Receivables and other financial assets	191,197	319,297
Deposits with financial institutions	1,247,857	544,763
Cash and bank balances	898,595	650,529
Non-current assets held for sale	70,000	900,000
TOTAL ASSETS	31,520,607	29,080,841
CAPITAL AND RESERVES		
Issued share capital	720,000	720,000
Statutory fund	1,323,581	1,312,284
Retained earnings	(719,504)	(591,199)
Shareholder's funds	1,324,077	1,441,085
Non-controlling interests	332,957	293,937
TOTAL CAPITAL AND RESERVES	1,657,034	1,735,022
LIABILITIES		
Borrowings	2,976,861	2,763,210
Insurance contract liabilities	16,831,063	14,532,693
Investment contract liabilities	3,890,109	5,073,450
Payables under deposit administration contracts	1,546,627	1,131,718
Unearned premium	1,847,958	1,265,707
Deferred income tax	567,250	649,620
Provisions	34,620	34,619
Current income tax	138,253	11,185
Deferred reinsurance commissions	119,189	48,235
Insurance payables	1,094,521	972,237
Lease liabilities	132,469	85,643
Payables and other charges	684,653	777,502
TOTAL LIABILITIES	29,863,573	27,345,819
TOTAL EQUITY AND LIABILITIES	31,520,607	29,080,841

GROUP STATEMENT OF CHANGES IN EQUITY		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
Issued share capital	720,000	720,000
Statutory fund	1,323,581	1,312,284
Retained earning	(719,504)	(591,199)
Shareholders' funds	1,324,077	1,441,085
Non controlling interest	332,957	293,937
Balance at end of the year	1,657,034	1,735,022

ABRIDGED CASH FLOW STATEMENT		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
Net cash flows from operating activities	(552,122)	(1,804,652)
Net cash flows from investing activities	1,843,459	1,497,617
Net cash flows from financing activities	(340,177)	(1,176,780)
Net increase/(decrease) in cash resources	951,160	(1,483,815)
Cash resources at the beginning of the year	1,195,292	2,679,107
Cash resources at the end of the year	2,146,452	1,195,292

GROUP EMBEDDED VALUE

The embedded value represents an estimate of the value of the group. It excludes the value attributable to minority interests and goodwill attributable to future new business.

The embedded value comprises of the value of the shareholders' equity net of the cost of the Capital Adequacy Requirement (CAR), and the value of the in-force business.

The value of the in-force is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
Embedded Value Results		
Shareholders' equity, excluding goodwill	427,309	580,089
Net value of in-force	828,025	822,170
Gross value in-force	2,225,130	2,112,758
Tax provision	(667,539)	(633,827)
Cost of CAR	(729,566)	(656,761)
Embedded value at end of period	1,255,334	1,402,259

Embedded value earnings		
Embedded value at end of period	1,255,334	1,402,259
Embedded value at beginning of period	(1,402,259)	(2,145,301)
Change in embedded value	(146,924)	(743,042)
Dividends paid	-	-
Embedded value earnings	(146,924)	(743,042)

These earnings can be analysed as follows:

Adjustment to fair value of subsidiary	(36,403)	151,064
Roll forward	268,999	430,314
Investment return on free assets	41,209	9,001
Expected return on life business in force	227,791	421,313
Change over the period	(379,520)	(1,324,421)
Value of new business	(61,701)	(69,140)
Change in assumptions and methodology	19,125	(413,895)
Experience variations	285,781	(321,607)
Decrease in NAV for other subsidiaries & associates	(622,725)	(519,779)
Total earnings	(146,924)	(743,043)

Value of new business

Value at point of sale (gross of tax)	57,894	(41,463)
Tax on value at point of sale	(17,368)	12,439
Cost of CAR at point of sale	(102,227)	(40,116)
Value of new business	(61,701)	(69,140)

Sanlam Kenya Plc Results

Audited Financial Statements for the period ended 31 December 2020

SANLAM LIFE INSURANCE LIMITED

STATEMENT OF COMPREHENSIVE INCOME		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
Income		
Gross written premium	5,213,782	4,387,293
Outward reinsurance premium	(408,935)	(435,837)
Net written premium	4,804,847	3,951,456
Fees and commission income	92,676	132,801
Investment income	2,336,156	2,204,772
Fair value (losses)/gains	(409,824)	450,475
Impairment of financial assets	-	2,624
Other operating revenue	3,484	61,537
Total income	6,827,339	6,803,665
Outgos		
Gross benefits and claims paid	(4,280,012)	(4,183,259)
Reinsurers' share of claims	423,086	111,066
Gross change in contract liabilities	(689,361)	276,591
Change in contract liabilities ceded to reinsurers	(17,591)	(14,308)
Net claims and policyholders benefits	(4,563,878)	(3,809,910)
Commission payable	(674,809)	(673,595)
Operating and other expenses	(989,345)	(1,258,870)
Finance costs	-	(97,213)
Total outgo	(6,228,033)	(5,839,588)
Profit for the year before tax	599,307	964,077
Income tax expense	(100,794)	(328,513)
Profit for the year after tax	498,513	635,564
Total comprehensive income for the year	498,513	635,564

STATEMENT OF FINANCIAL POSITION		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
ASSETS		
Intangible assets	51,691	67,170
Property and equipment	162,328	179,260
Right-of-use assets	115,290	87,056
Investment properties	2,830,000	2,965,000
Deferred acquisition costs	-	26,316
<u>Financial assets</u>		
Equity securities at fair value through profit or loss	80,144	1,508,425
Government securities at fair value through profit or loss	20,488,185	17,781,630
Corporate bonds at fair value through profit or loss	-	53,695
Policy loans	197,281	250,548
Mortgage loans	81,647	88,101
Reinsurers' share of insurance contract liabilities	125,807	143,397
Insurance receivables	378,005	164,878
Other receivables	300,545	215,144
Deposits with financial institutions	1,061,303	418,399
Cash and bank balances	429,379	368,032
Non-current assets held for sale	-	410,000
Total assets	26,301,605	24,727,051

EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	843,138	843,138
Share premium	30,260	30,260
Statutory fund	1,323,581	1,312,284
Retained earnings	867,469	560,253
Total capital and reserves	3,064,448	2,745,935
Liabilities		
Insurance contract liabilities	15,457,719	13,585,017
Investment contract liabilities	3,890,109	5,073,450
Payable under deposit administration contracts	1,546,628	1,131,719
Deferred income tax	567,249	649,620
Current income tax	138,253	244
Insurance payables	1,029,914	845,706
Other payables	483,119	619,313
Lease liabilities	124,166	76,047
Total liabilities	23,237,157	21,981,116
Total equity and liabilities	26,301,605	24,727,051

KEY RATIOS		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
KEY RATIOS		
Capital adequacy ratio (capital available/required minimum capital)	221%	168%
Claims ratio (claims incurred/net written premium)	80%	103%
Expense ratio (total management expenses/gross written premium)	19%	27%
Retention ratio (net written premium/gross written premium)	92%	90%
Commission ratio (gross commission/gross written premium)	13%	15%

SANLAM GENERAL INSURANCE LIMITED

STATEMENT OF COMPREHENSIVE INCOME		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
Income		
Gross written premium	4,066,095	2,859,045
Gross earned premium	3,741,095	2,604,295
Less: Reinsurance premium ceded to reinsurers	(1,694,335)	(909,205)
Net earned premium	2,046,760	1,695,090
Investment and other income	184,890	114,785
Commissions earned	365,399	192,263
Total income	2,597,049	2,002,138
Outgos		
Claims and policyholder benefits	(1,167,648)	(1,026,513)
Operating and other expenses	(774,676)	(632,488)
Commissions payable	(468,024)	(320,095)
Total outgos	(2,410,348)	(1,979,096)
Profit before income tax	186,701	23,042
Income tax expense	(48,962)	(18,624)
Profit for the year	137,739	4,418
Total comprehensive income for the year	137,739	4,418

STATEMENT OF FINANCIAL POSITION		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
Equity		
Share capital	1,028,998	1,028,998
Share premium	100,362	100,362
Retained earnings/(accumulated losses)	52,911	(84,828)
Total equity	1,182,271	1,044,532
Assets		
Property and equipment	77,748	89,105
Right-of-use assets	53,875	69,900
Intangible assets	4,840	9,802
Deferred income tax	139,294	144,140
Non-current assets held for sale	70,000	490,000
Equity investments - at fair value through profit or loss	547	754
Receivables arising out of reinsurance arrangements	263,690	344,055
Receivables arising out of direct insurance arrangements	506,334	429,638
Reinsurers' share of insurance contract liabilities	1,234,846	608,138
Other receivables	38,525	54,037
Deferred acquisitions cost	198,477	145,692
Government securities at fair value through profit or loss	1,524,439	900,008
Secured loans to employees	312	501
Current income tax asset	23,035	22,726
Deposits with financial institutions	186,555	98,024
Cash and bank balances	446,344	155,341
Total assets	4,768,861	3,561,861
Liabilities		
Insurance contract liabilities	1,373,344	947,676
Unearned premium reserve	1,847,958	1,265,707
Creditors arising from reinsurance arrangements	64,607	126,531
Deferred reinsurance commissions	119,189	48,235
Other payables	116,381	50,768
Lease liabilities	65,111	78,412
Total liabilities	3,586,590	2,517,329
Net assets	1,182,271	1,044,532

KEY RATIOS		
	31 Dec 2020	31 Dec 2019
	KShs '000	KShs '000
KEY RATIOS		
Capital adequacy ratio (capital available/required minimum capital)	133%	110%
Claims ratio (claims incurred/net written premium)	57%	61%
Expense ratio (total management expenses/gross written premium)	19%	22%
Retention ratio (net written premium/gross written premium)	59%	65%
Commission ratio (gross commission/gross written premium)	12%	11%

Keep Safe

We are not out of the woods yet.



- Wear a Mask
- Keep Social Distance
- Wash Your Hands
- Sanitize